At 9.55 a.m., R-ADAG group chairman Anil Ambani sounded the gong on the floor of BSE to signal the listing of the shares. He might as well have rung a dinner bell signalling to a sloth of starving bears to dig their claws deep into his stock.

The shares briefly topped Rs 500, but not many trades happened at those prices. On BSE, the highest price for the day was Rs 599 and on NSE Rs 530. But this was just a flash in the pan. Within minutes the share price sank, hitting a low of Rs 355 before ending the day at Rs 372, 17 per cent below the issue price. The average price during the session was Rs 416.

It was possible that the overall downtrend in the market aggravated the slide in Reliance Power shares. Later, Anil Ambani would accuse corporate rivals of having orchestrated the debacle by hammering the prices to force existing investors to sell out and scare off potential buyers. Those who had bid with such enthusiasm for Reliance Power shares during the subscription period did not turn up to buy more shares even though they would have got them much cheaper.

Only a handful of investors managed to exit their positions at a decent profit. And even those who got a good price may not have been able to offload as much of their stock as they would have liked to, as the stock price fell so fast.

The tremors of the disastrous listing were felt in the grey market too, where many players reneged on their commitments after suffering heavy losses. The grey market is illegal and functions purely on trust; there is no way you can drag somebody to court for going back on his word. Still, this market had stood the test of time, which is proof that players rarely wriggled out of their commitments. But this incident shook the faith of players in the grey market. It would be a very long time before their confidence in it returned.

Stung by bad press in the wake of the debacle, Reliance Power, on 24 February – a Sunday – announced a bonus share issue solely for its non-promoter shareholders. Investors were to get three bonus shares for every five shares they held.

What many failed to understand was that even if the bonus share issue reduced the average cost of purchase in absolute terms, the market price would automatically adjust lower, to the extent of the extra shares in circulation after the bonus. The bonus issue itself would not assure investors of good returns; there had to be a fundamental reason for the stock